Bafin Federal Financial Supervisory Authority

CONSUMER PROTECTION

Exchange traded funds (ETFs) at a glance

Anyone looking to build their wealth will quickly come across exchange-traded funds, or ETFs for short. These securities funds are traded directly on the stock exchange.

What are ETFs?

There are various types of ETFs. They usually replicate the performance of indices such as the DAX, the German stock index. An index reflects the performance of the assets it consists of – in the case of the DAX, for example, the shares of major German companies. Such funds are called passively managed funds, as the managers do not make any investment decisions of their own. They simply follow the performance of the replicated index. The funds replicate, or track, the index either by purchasing the underlying securities (physical replication) or by using transactions such as swaps to replicate the index content (synthetic replication).

In contrast to passive ETFs, the managers of actively managed funds control the portfolio themselves. They decide on the mix of assets while remaining within the scope of the stated investment objectives and policy.

There are also ETFs that do not track broadly diversified and established indices and instead track lesser-known indices that are linked to specific themes or regions, for example.

In addition, "active ETFs" are also offered. In an active ETF, the manager is merely guided by an index, but attempts to outperform it by deviating from the index in some cases. However, the form of management ("active" or "pas-

sive") alone does not allow conclusions to be drawn about the performance of the ETF.

Active and passive ETFs are not only valued by the manager on a daily basis, but also continuously by the market – in line with the performance of the underlying assets. Market makers are responsible for ensuring that the value of the traded units reflects the performance of the assets contained in the ETF.

Who are ETFs suitable for?

ETFs, which passively track a broadly diversified index, allow you to invest without having to buy the underlying assets, such as shares, individually. If you would prefer not to leave the diversification of your investments and thus the risk solely to the strategy of a manager and would rather replicate the performance of an index, ETFs offer a long-term investment opportunity.

With a passive ETF, the assets it contains are determined from the outset. The fund manager has no discretion in the selection or weighting of the assets. They must strictly align the composition with the performance of the index.

In the case of passive ETFs that track a specific index, e.g. based on regions or sectors, you have to trust in the performance of the securities contained in the ETF and the selection of these securities by the index provider or asset manager.

With active ETFs, you have to rely on the fund managers, who try to outperform the index on which the ETF is based.

What risks do ETFs entail?

An ETF is subject to market price risk. The value of an ETF directly reflects the changes in the value of the assets held in it or replicated by it. There can be strong fluctuations in stock markets, and these movements will be reflected in the respective ETF. You should always bear in mind that there are risks associated even with ETFs.

A passively managed ETF strictly tracks the index, such as the DAX. The manager cannot actively intervene if the market changes and therefore cannot make attempts to mitigate risks.

What are the advantages of investing in ETFs?

Replicating an index, as occurs in a passive ETF, allows you to participate in the performance of the index. Through a passive ETF, you can invest in a broadly diversified range of securities in a cost-effective and relatively convenient manner.

Indices represent the average of a particular asset class. Their return therefore does not depend on the performance of an individual share, but on the group as a whole. Losses in individual stocks can be better offset by gains in others. However, this principle of risk limitation only works as long as the entire asset class that the index tracks is not affected by a downturn.

ETFs that are passively managed and track a specific index, for example a regional or theme-oriented index, allow you to invest in specific investment areas. However, they may offer less diversification.

Active ETFs give you the opportunity to benefit from better performance through the active influence of a fund manager. At the same time, however, there is a risk that active influence could have a negative impact on performance.

All ETFs offer you flexibility: you can buy or sell your fund units on the stock exchange at any time.

What costs are incurred when I buy ETFs?

What are the tax implications of ETFs?

Any investment may be subject to taxes. You should therefore check the tax implications before you invest. If you have any questions, please contact the person who advises you on investment or tax issues.

For ETFs that only replicate indices and are passively managed, the fees are usually lower than for actively managed funds or active ETFs. This is because

the manager of an actively managed fund tries to outperform the index – a service that you as an investor have to pay for.

Regardless of whether you are purchasing the ETF with or without advice, your bank or advisor must provide you with the ex-ante cost information regarding the expected costs of the investment in advance before you buy or sell an ETF. Read this information carefully and compare different offers if necessary.

Please note: Bafin does not check whether a fund is profitable. You alone bear the risks of this investment. You should therefore read all documents carefully and get a comprehensive picture of the product and the possible risks before making a decision.

Where can I buy ETFs?

ETFs are traded on the stock exchange. You can buy them through your bank, other financial services providers or financial investment brokers.

Can ETFs be redeemed or sold at any time?

Yes, you can sell your ETF units at any time on the stock exchange. Alternatively, they can usually be returned directly to the fund.

What information is the provider required to make available?

Anyone wishing to offer ETFs in Germany must draw up a prospectus. This contains all the economic and legal details of the fund. The provider must also supply a key information document that summarises the most important information about the product. They are legally obliged to make these documents available on their website at all times. Before every investment in an ETF, the provider must supply the investor with the key information document without being asked to do so. Upon request, the investor will also be provided with the prospectus and the latest annual and half-yearly reports.

The key information document is designed to help you understand the nature and risks of the fund so that you can make an informed decision. Read the key information document carefully before you buy units in a fund. To make it easier to compare different funds, key information documents must be in a standardised format: they may not exceed three A4 pages and must be written in clear, understandable language. The following information is required by law: information on the fund itself, the target group of retail investors, the recom-

mended holding period, investment objectives and policy, risks, possible performance scenarios, costs and fees.

If you receive advice from a bank or financial services provider, the company must provide you with all of this information. The advisor is also required to provide you with a suitability report. In this report, they must explain why the fund is suitable for you. You will also receive a further document: the ex-ante cost information. You should read these documents carefully.

How are ETFs and the distribution of ETFs supervised?

ETF managers based in Germany generally require authorisation from Bafin and are subject to Bafin's supervision. For ETFs launched in Germany, Bafin also reviews the fund rules.

The monitoring of distribution channels depends on the provider of the funds. Market makers that trade ETFs on the stock exchange and financial services institutions that act as intermediaries are supervised by Bafin. Financial investment brokers and fee-based financial investment advisors, on the other hand, are supervised by the authorities responsible under the German Industrial Code (*Gewerbeordnung* – GewO). Depending on the federal state, the responsible authorities could be the Chamber of Industry and Commerce (IHK), the administrative district, the trade office or the local police.

The stock exchange supervisory authorities ensure that trading on the stock exchange complies with the rules. This also includes monitoring the price formation process.

Additional information

Notes on product information



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